

AN ADVISORY NOTE

Structuring the group holding company

Five ways to hold a multi-sector group across education, energy, agriculture, healthcare and fashion, with the tax and regulatory implications of Nigeria's 2025 reform, and a recommendation.

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Private and confidential. Advisory, not a legal or tax opinion.



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A note before the detail

Kemi, this note picks up the conversation from the office. You are building across five very different worlds: education, energy, agriculture, healthcare and fashion. The instinct to put a single tech-first shared-services company at the centre of all of it is a good one. It is how most serious multi-sector groups are eventually held. The question is not whether to build a holding company, it is how to build it so that it protects you, upstreams cash efficiently, stays investable arm by arm, and passes cleanly to the next generation.

This note gives you four to five structuring options for the group, each with its tax and regulatory implications under the new 2025 tax regime, and a recommendation for where you are today. It has a companion note that structures the healthcare arm, ilé, in detail, including the shareholding with Dr Chris Anele and Consult for Africa. Read them together, but they stand alone.

One honest caveat up front. The Nigerian tax landscape changed fundamentally on 1 January 2026, and some of the new rules are untested and even internally disputed between the major advisory firms. Where that is the case I flag it rather than pretend certainty, and I point you to the specific things to confirm with counsel before you act.

What you are actually building

Restated simply: a parent company that owns nothing operational itself, but holds the shares of separate operating companies, one per business, and sits on top of a shared-services spine (technology, finance, legal, brand, people) that every business draws on. The parent is where value accumulates, where profits are pooled, and where you and your family hold control.

Five design principles should drive the choice between the options below.

- **Ring-fencing.** A problem in the oil and gas arm should never be able to reach into the healthcare arm or the family home. Separate companies, and in some cases separate sub-groups, are how you achieve that.
- **Tax-efficient upstreaming.** Profits made in the operating companies need to reach the parent without being taxed twice. The new regime allows this, but only if the structure respects how it works.
- **Investability, arm by arm.** You will raise money and take partners into individual businesses (as you already are in healthcare) without selling a piece of everything else. The structure has to allow a clean, sector-level cap table.
- **Control and succession.** The whole point of a family holding company is that control and inheritance are settled once, at the top, not renegotiated business by business.
- **Cost and simplicity for where you are now.** You are early and largely self and family funded. The structure should be right-sized for that today, and designed to grow into its more elaborate form later, not built at full complexity from day one.

The ground rules that shape every option



Before the options, the tax and legal facts that apply whichever structure you pick. These are current as of the Nigeria Tax Act 2025, the Nigeria Tax Administration Act 2025 and the Nigeria Revenue Service Act, all effective 1 January 2026, sitting alongside the Companies and Allied Matters Act 2020.

Parameter	Position under the 2025 regime	What it means for you
Company income tax (CIT)	30% for any company that is not a small company	Every profitable operating company pays 30% at company level
Development Levy	4% of assessable profits, replaces the old education, NITDA, NASENI and Police Trust Fund levies. Not creditable against CIT	Effectively a flat add-on. Model roughly 34% at the profit level of each non-small operating company
Small-company relief	0% CIT, and exempt from CGT and the 4% levy	A genuine holiday for genuinely small companies. See the threshold caveat below
Company capital gains tax	30%, raised from 10% and aligned to CIT. Old CGT Act repealed and folded into the new Act	Selling a business, or moving assets between companies, is now a 30% event unless a relief applies
Inter-company dividends	Dividends between Nigerian resident companies are franked investment income, exempt from further tax in the recipient's hands	This is the engine of the whole holding-company case. Profits can flow up to the parent without a second layer of tax
Minimum effective tax	15% floor, but only for members of a multinational group or companies with turnover of N20bn or more	Does not touch you on day one. A scale-and-raise consideration for later

Four points deserve to be understood, not just listed.

The reason a Nigerian holding company works at all is the franked-dividend rule. When an operating company pays a dividend up to the parent, that dividend has already borne tax in the operating company, and it is exempt when the parent receives it. So profits are not taxed again as they climb the chain. This is the single most important fact in this note.

One trap to design around. The old excess-dividend rule survives, narrowed, as section 9 of the new Act. In plain terms: if a company pays out a dividend that is larger than its already-taxed profits, the excess can be pulled back into tax. It does not bite dividends paid out of profits already taxed, out of exempt profits, or out of franked income. Where it can still bite is an operating company that pays dividends while sitting on losses or an incentive holiday. The rule is simply to pay dividends out of real, taxed profits, and to be careful upstreaming from any arm that is enjoying a tax incentive.

A correction worth stating plainly. There is a temptation to believe Nigeria now has a full "participation exemption" that makes inter-company dividends completely tax-free including withholding. It does not. The shielding works only through the franked-income exemption on the receiving side. Do not let anyone structure on the assumption that dividends move entirely free of any deduction. The protection is real but narrower than the headline.

One genuine uncertainty to resolve before relying on it. The small-company 0% band is valuable for the early years of your lighter arms, the edtech and the fashion business while they are small. But the advisory firms disagree on the turnover threshold: the enacted section text (as read by EY and others) says turnover of N50m or less, while PwC and Baker Tilly commentary still cite N100m. Both agree on a N250m fixed-asset ceiling and that professional-services businesses are excluded entirely. This matters directly: a shared-services or technology company that charges fees to the group looks like a professional-services business and would likely be shut out of the 0% band. Confirm the operative threshold against the gazetted



Act before you count on it.

The five options

Each option below is a real, buildable structure. They are not mutually exclusive over time. The honest way to read them is as a ladder: most groups start near the top and climb as value and complexity grow.

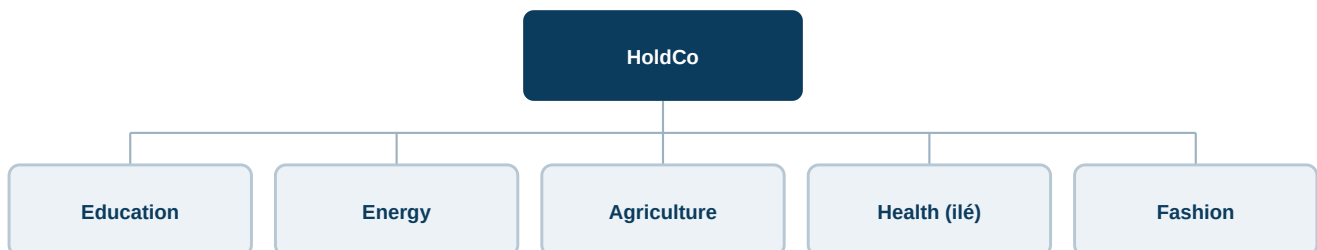
Option 1. Single holding company over wholly-owned operating companies

One parent company, a company limited by shares under CAMA 2020, owns 100% of each of the five operating companies directly. Flat and simple.

- **Corporate basis.** Straightforward. One parent, five subsidiaries, each separately incorporated.
- **Tax.** Clean. Each operating company pays its own 30% plus 4% levy, dividends flow up to the parent as franked income. No second layer of tax at the top.
- **Ring-fencing.** Good between arms. Each business is a separate legal person, so a creditor of the fashion company cannot reach the healthcare company. The limit is that the parent sits directly over everything, so a claim against the parent touches the whole group.
- **Investability.** Adequate but blunt. To take an investor into one arm you either sell shares in that operating company directly, which is fine, or you dilute at parent level, which sells them a slice of everything.
- **Cost and complexity.** Lowest. Six companies, one set of group accounts, one board culture.
- **Succession.** Settled at the top: whoever controls the parent controls the group.
- **Best when.** You want to start clean and cheap, and defer complexity. This is a sensible day-one structure.

FIGURE

Option 1. One parent company owns each operating business directly.



Option 2. Holding company plus a shared-services and technology company (the tech-first spine)

Everything in Option 1, plus a dedicated shared-services company (call it GroupCo Services) that employs the shared technology, finance, brand and people functions and charges each operating company a fee for them. This is the literal expression of your "tech-first shared services" idea.

- **Corporate basis.** One more company, owned by the parent, sitting alongside the operating companies rather than above them.
- **Tax.** This is where care is needed. The fees the services company charges must be at arm's length and documented, because Nigeria's transfer-pricing rules apply to transactions between related companies. Two specific constraints to plan for: fees for technology, royalties and intangibles are understood to be deductible only up to a capped percentage of earnings (the reform tightened this, commonly cited around 5% of EBITDA, to be confirmed against the regulations), and certain technology and management fees require registration with the National Office for Technology Acquisition and Promotion before they are deductible at all. Get this wrong and the operating companies lose the

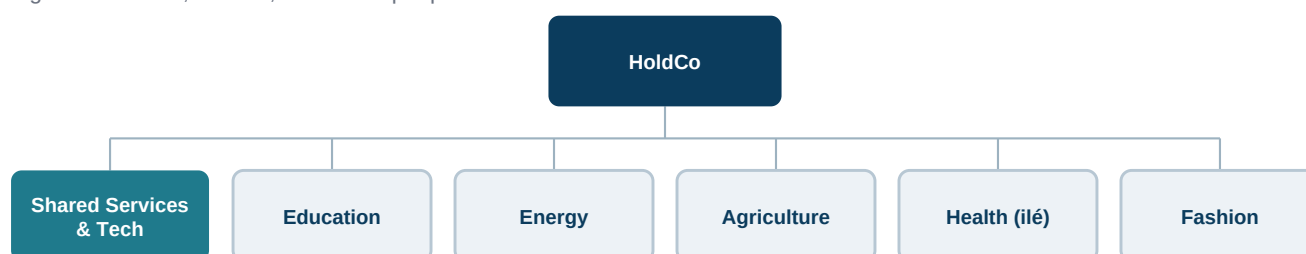


deduction while the services company is still taxed on the income, which is the worst of both worlds. Note too that the services company, as a professional-services business, will likely not qualify for the small-company 0% band.

- **Ring-fencing.** Strong. Your most valuable long-term asset, the technology and the brand, lives in one protected company and is licensed to the rest, so it survives the failure of any single operating business.
- **Investability.** Very good. A clean services-and-IP company is itself an attractive, ownable asset, and keeping the IP separate makes each operating company easier to sell without giving away the platform.
- **Cost and complexity.** Moderate. You take on transfer-pricing documentation and inter-company agreements. This is real ongoing work, not a one-off.
- **Succession.** As Option 1, with the bonus that the crown-jewel IP is cleanly held.
- **Best when.** Technology genuinely is the shared advantage across the arms, which is your stated thesis. I would build this early, but build the compliance discipline with it.

FIGURE

Option 2. A shared services and technology company sits alongside the operating businesses and charges each one an arm's length fee for tech, finance, brand and people.



Option 3. Holding company plus sector sub-holdings (ring-fencing the regulated arms)

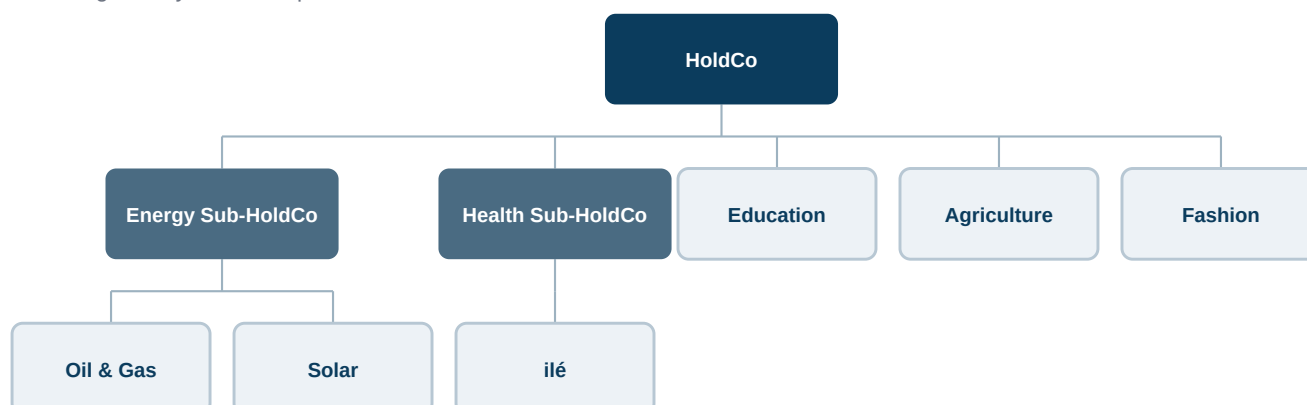
The parent does not own the operating companies directly. Instead it owns a handful of intermediate sub-holding companies, one for each cluster that deserves its own ring, and those sub-holdings own the operating companies. The obvious candidates for their own ring are energy (the oil rig and the solar business) and healthcare (ilé), because they are the most heavily regulated and, in energy's case, the most capital-hungry and highest-risk.

- **Corporate basis.** A three-layer group: parent, sector sub-holdings, operating companies.
- **Tax.** Still clean on dividends, because franked income keeps its character up every layer. The one thing to watch is that adding layers adds companies, each with its own filings, and each dividend hop must respect the excess-dividend rule.
- **Ring-fencing.** Strongest of the operating structures. The oil and gas sub-group is legally sealed off from healthcare, from fashion, and from the family's other assets. Given that you are contemplating owning a rig, this matters a great deal: petroleum operations carry environmental, contractual and regulatory liabilities you do not want anywhere near an eldercare home.
- **Investability.** Best in class. You can take a strategic energy investor into the energy sub-holding, or sell the whole healthcare sub-group, without disturbing anything else. This is how you keep each arm independently financeable.
- **Cost and complexity.** Higher. More companies, more boards, more accounts.
- **Succession.** Very clean, and it lets you eventually pass different arms to different heirs if you ever want to.
- **Best when.** An arm is regulated, capital-intensive or risky enough to deserve its own wall. Energy and healthcare qualify now. The lighter arms do not yet.



FIGURE

Option 3. The regulated, capital-heavy arms (energy and healthcare) get their own sub-holding and their own ring. The lighter arms hang directly under the parent.



Option 4. Holding company held through a family trust or family-office layer

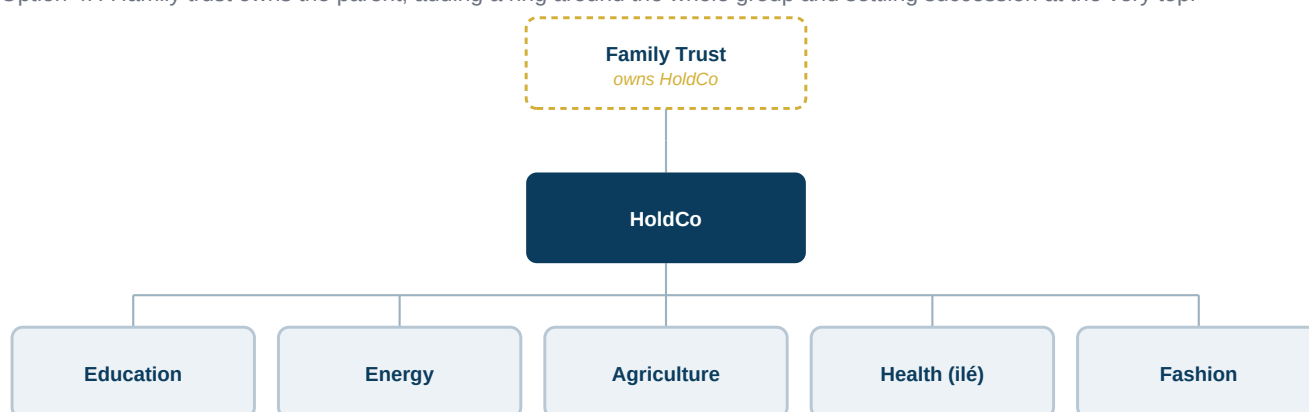
Any of the structures above, but with the shares of the parent held not by you personally, but by a family trust or a family holding vehicle, with a light family-office function to administer it.

- **Corporate basis.** The trust or family vehicle sits above the parent and owns it. You and your family are the beneficiaries.
- **Tax.** Neutral to positive on income while assets are held, because the underlying dividend mechanics are unchanged. The real prize is on transfer: assets held in a properly constituted trust can pass on death without a forced sale of the businesses to settle estate matters, and are insulated from personal claims against you. Note that the new regime taxes capital gains at 30% and now reaches even indirect offshore transfers of Nigerian shares, so the trust must be built for succession and protection, not as a tax-avoidance device, which it is not.
- **Ring-fencing.** Adds a final ring around the whole group: personal claims against you do not automatically reach the group's shares.
- **Investability.** Neutral. Sophisticated investors are comfortable with a trust above the parent, provided control and decision rights are clear.
- **Cost and complexity.** Highest, and requires specialist trust and tax counsel to set up correctly. Done badly it creates problems rather than solving them.
- **Succession.** This is the option that exists for succession. It is the answer to "what happens to all of this when I am not here."
- **Best when.** The group has real, durable value worth protecting and passing on. That is a "in two to three years" question for you, not a day-one one, but you should design the parent now so the trust can be dropped in later without a taxable reorganisation.



FIGURE

Option 4. A family trust owns the parent, adding a ring around the whole group and settling succession at the very top.



Option 5. The phased hybrid (my recommendation)

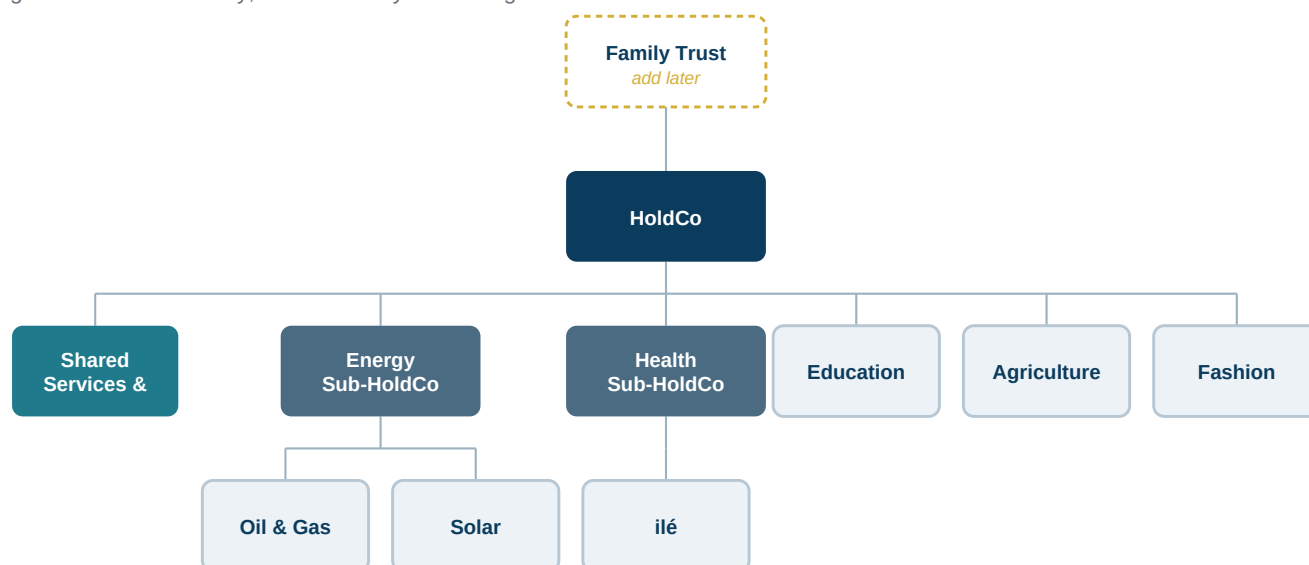
Not a different structure so much as the sensible path through the other four. Build in this order:

1. **Now:** Incorporate the parent as an ordinary CAMA 2020 company limited by shares (Option 1), and stand up the shared-services and technology company alongside it (Option 2). This gives you the tech-first spine you want from the start.
2. **Now, for two arms only:** Ring-fence energy and healthcare into their own sub-holdings (Option 3) from the outset, because their regulatory and liability weight justifies the wall immediately. Keep education, agriculture and fashion held directly under the parent until they grow.
3. **Later:** When the group's value is real and you want to settle succession, drop a family trust or family-office layer above the parent (Option 4). Design the parent's share structure now so this can be done cleanly later.

This gives you protection where you need it today, keeps cost proportionate to your early stage, and leaves a clear runway to the full structure without ever having to unpick and rebuild.

FIGURE

Option 5, recommended. The full picture: a tech spine and ring-fenced energy and healthcare sub-groups from day one, the lighter arms held directly, and the family trust designed in now to be added later.



The options at a glance



Dimension	1. Flat HoldCo	2. + ServicesCo	3. + Sub-holdings	4. + Family trust	5. Phased hybrid
Ring-fencing	Good	Strong (protects IP)	Strongest	Adds personal ring	Strong where needed
Tax efficiency	Clean	Clean if TP is right	Clean	Clean	Clean
Investability per arm	Adequate	Very good	Best	Neutral	Very good
Succession	Good	Good	Very good	Purpose-built	Very good, trust-ready
Cost and complexity	Lowest	Moderate	Higher	Highest	Proportionate
Right for you	Day one	Day one	Energy and health now	In 2 to 3 years	Yes

Incentives and regulators, arm by arm

The reform reshaped incentives. The old Pioneer Status tax holiday is gone, replaced by an Economic Development Incentive: instead of a period of no tax, you now get a tax credit of 5% per year for five years on qualifying capital expenditure, carried forward up to five further years. The practical effect is that the new incentive rewards capital-heavy arms far more than asset-light ones. Your solar plant, agricultural processing, eldercare facilities and the rig can generate meaningful credits; the edtech and fashion arms, which spend on people and software rather than plant, will get little from it. That is an argument for putting real capital into the physical arms through the companies that can use the credit. The specific list of eligible priority sectors under the new incentive still needs to be checked against the schedule before you rely on it.

For the agricultural export arm, the Export Expansion Grant remains available through the Nigerian Export Promotion Council: between 5% and 15% of export value depending on how processed the product is, which is a direct argument for exporting processed goods rather than raw commodities. Treat it as a variable, not guaranteed, benefit: it has been suspended and reinstated before and is settled in export credit certificates rather than cash.

Arm	Principal regulators	Key points
Education (edtech)	NDPC (data protection)	A pure software product is lightly regulated. The real obligation is the Nigeria Data Protection Act 2023, because you will hold data on teachers, parents and children. Treat child data as sensitive
Energy: oil rig	NUPRC, NMDPRA, NCDMB under PIA 2021	The most heavily regulated and highest-liability arm. Petroleum operations, Nigerian-content obligations, environmental exposure. Ring-fence it. This deserves its own specialist counsel before any commitment
Energy: solar	NERC, Electricity Act 2023, REA	Own-use generation above 1MW needs a NERC captive-generation permit. Selling power to third parties is a heavier full generation licence. Below 1MW own-use is exempt



Arm	Principal regulators	Key points
Agriculture and export	NEPC, NAFDAC, SON	Register with NEPC for export incentives. Processed food engages NAFDAC and standards bodies. Processing before export lifts both margin and grant
Healthcare (ilé)	State facility regulator (for example HEFAMAA in Lagos), MDCN, NMCN, NDPC	Home care and residential eldercare need state health-facility registration and licensed professionals. Patient data is sensitive data under the NDPA
Fashion and retail	FCCPC, SON, NDPC if online	Lightest touch. Consumer protection, product standards, and data protection only if you trade online

What to do in the next ninety days

- Incorporate the parent company and the shared-services company, and settle the parent's share structure with succession in mind.
- Incorporate the energy and healthcare sub-holdings.
- Put inter-company agreements and a transfer-pricing policy in place for the services company before it charges its first fee.
- Take specialist counsel on the rig before any capital is committed, and on the trust layer as a design input now even though you will implement it later.
- Confirm the disputed small-company threshold and the Economic Development Incentive eligibility list with tax counsel.

This note is advisory, not a legal or tax opinion. The 2025 tax Acts are new, partly untested, and in places disputed even among the major firms, as flagged throughout. Confirm the load-bearing points, the small-company threshold, the transfer-pricing caps and the group-reorganisation reliefs, with qualified Nigerian counsel before acting. The companion note structures the ilé healthcare venture and its shareholding in detail.

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